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The Rise of Harshad and the Equity Cult

But for the general elections in November, which saw the defeat of the Congress and brought the Janata Dal-led national coalition to power, 1989, as well as the first half of 1990, saw very little activity on Dalal Street.

V. P. Singh had come to power with many a promise, but was caught up in trying to keep the coalition partners happy. Student agitations across the country, and suicide attempts by a few students in the wake of the Mandal Commission report on reservations for the backward classes undermined Singh's position within his own party. By then, the term 'policy paralysis' had not been coined, and the stock market appeared to be existing in a cocoon of its own, unmindful of the economy as a whole. Investors did not concern themselves beyond policies that impacted specific companies or sectors.

All this time, unknown to the stock market at large, action was slowly hotting up in the little-known, murky interbank market for government securities. It was a market in which banks – nationalized as well as private sector banks – bought and sold bonds among each other to meet their liquidity requirements and to make profits too. Before long, the reverberations from the developments in the money market – as it was called – would be felt in the stock market.

The Sensex had been trading between 700 and 850 from January to June 1990, giving little clue as to which end of the range it would break out from. However, starting July, the index broke out of the upper end, and by the close of the month had risen to within sniffing distance of 1,100. Even more strangely, the market rose through August and September, when crude